

Challenge Yourself

SESSION 1

The Challenger™ Sales Conversation

Developing and Managing Constructive Tension



Challenger

How to Use the Action Book

Print or use digitally. This book is designed to help you actively learn in the session and provide you with resources you can apply to your accounts. Take the time to fill in the blanks and make note of key points you can use with your current and future accounts. Active participation helps you connect the dots.



Fill in the orange outlined boxes with the appropriate answers from the virtual classroom.



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BEFORE THE SESSION

Identify one (1) current opportunity where you have sufficient information about the industry, company, and stakeholders involved.

Example customer situations could include:

- A 'representative' opportunity for your company (i.e. characteristics of company or stakeholder will be similar to those your teammates are pursuing)
- Potential customers (or new departments / functions) that are similar to other opportunities where you have been successful but who have not been receptive to your efforts so far
- Existing / Potential customers where the deal has 'stalled' or gotten 'stuck' during the sales process (they can't see the reason to move away from their status quo or there is no compelling reason to take action now)
- A customer (or customer type) you're particularly nervous about engaging in the current macroeconomic climate

Describe the opportunity by answering these questions.

How does the company make money? Who are their customers? How do they help their customers? How do they beat the competition? What are the long-term goals of the company?



BREAKOUT ROOM NOTES

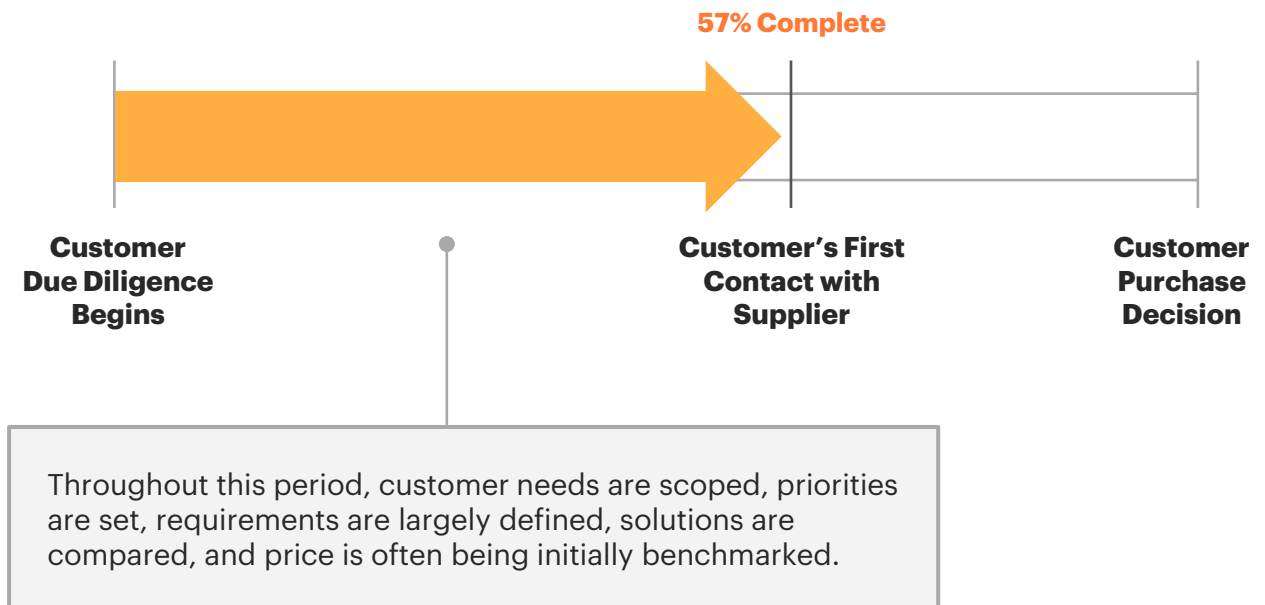
Notes



THE CHANGING CUSTOMER WORLD

Notes

Making a Purchase Decision



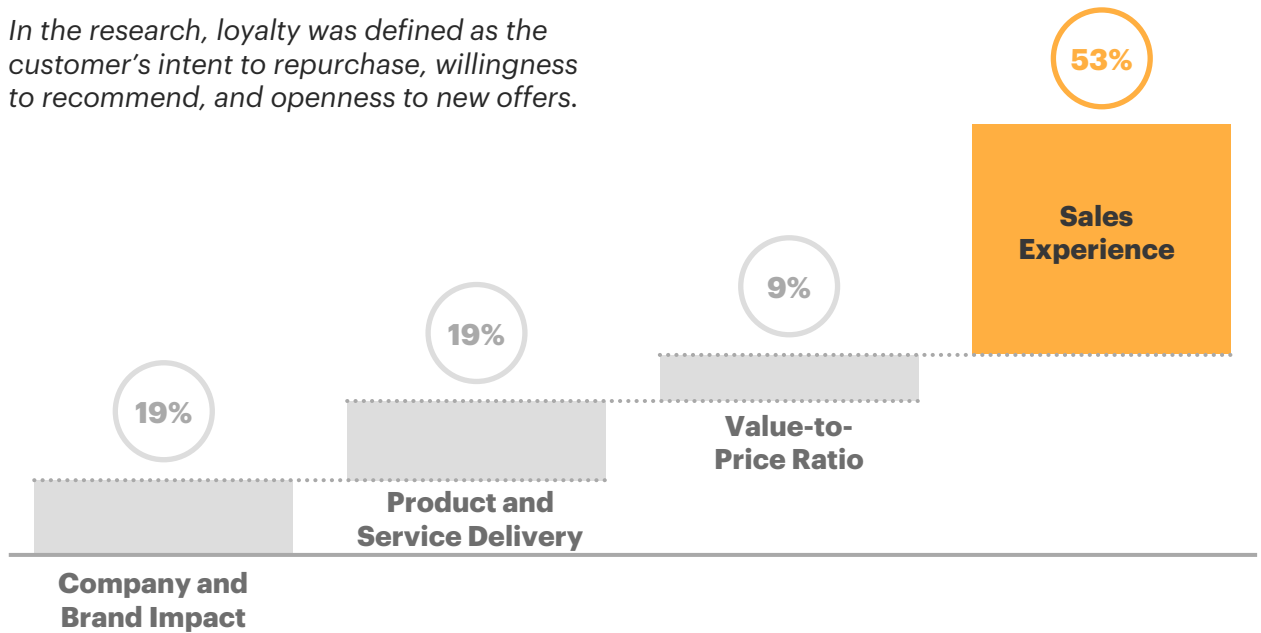
n = 1,460
Source: Gartner analysis.



VOICE OF THE CUSTOMER

Impact of Customer Loyalty Drivers

In the research, loyalty was defined as the customer's intent to repurchase, willingness to recommend, and openness to new offers.



n = 4,960
Source: Gartner analysis.



I value sales professionals who...



Offer me unique, valuable perspectives on my market



Help me navigate alternatives



Help me avoid potential risks



Educate me on new issues and outcomes



Are easy to buy from



HOW CHALLENGERS WIN



**Create
Constructive
Tension**

Shift behavior to compel the customer to take action.



**Teach for
Differentiation**

Deliver Commercial Insight in a rational and emotionally compelling way.



Tailor for Resonance

Customize the sales message to individual priorities and goals of the stakeholder group.



**Take
Control**

Guide the customer through the buying process and verify movement.

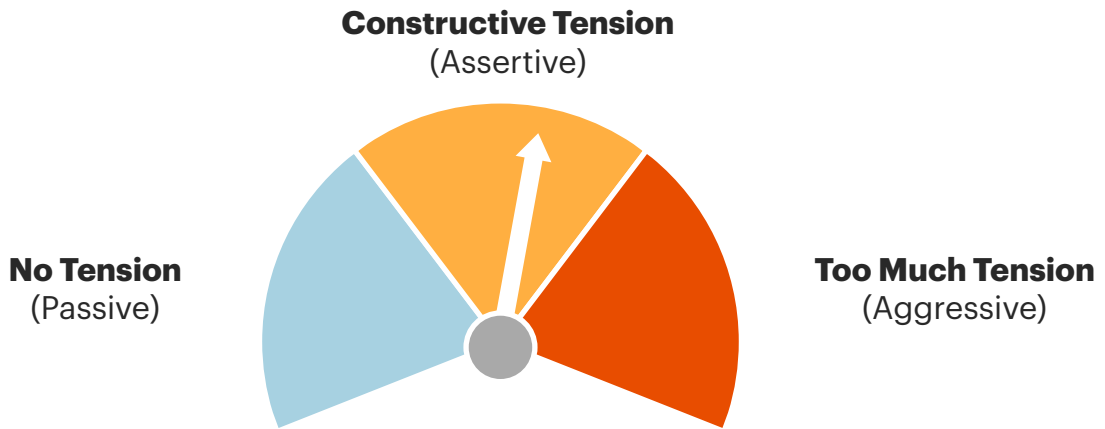


NOTES



WHAT DOES TENSION LOOK AND FEEL LIKE?

Dial of Tension



The customer is...

- *Relaxed*
- *Leaning back in chair*

The customer is...

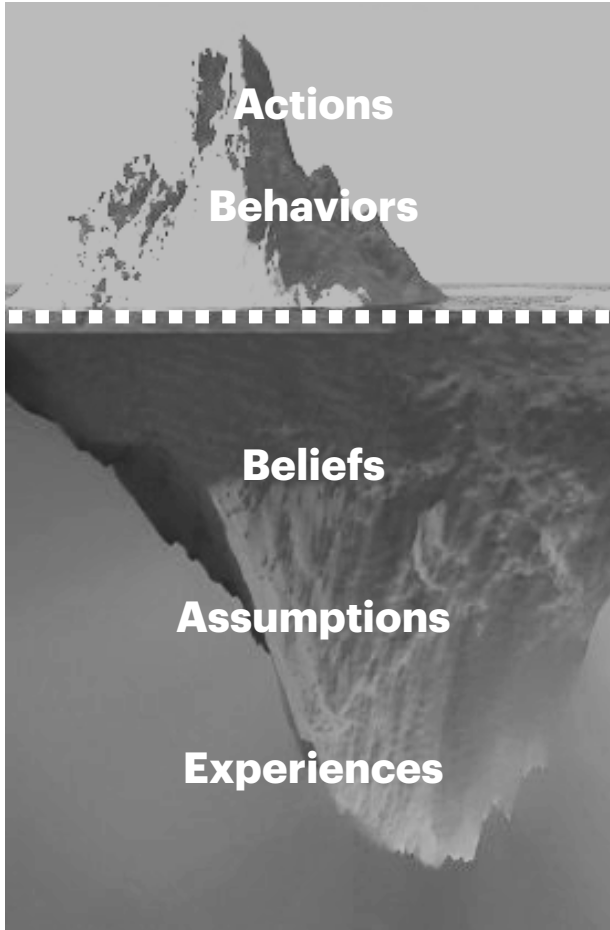
- *Intrigued*
- *Listening closely*
- *Asking lots of questions*

The customer is...

- *Stressed*
- *Sounding defensive*



EXPLORING UNDERNEATH THE SURFACE



Actions/Behaviors:

Beliefs/Assumptions/Experiences:

Notes



POWERFUL QUESTIONS

Criteria for Powerful Questions:

- ✓ Remain open-ended
- ✓ Drive toward a specific objective or outcome
- ✓ Remain positive in tone and curious in nature
- ✓ Probe for further analysis
- ✓ Gain additional information about a topic or situation
- ✓ Invite other perspectives and opinions

Open Ended Questions:

- ✓ What...
- ✓ How...
- ✓ When...
- ✓ Where...
- ✓ Who...
- ✓ Why...

Closed Questions:

- ✗ Is/Are...
- ✗ Do/Did/Does...
- ✗ Will/Was...
- ✗ Can...
- ✗ Has/Have...
- ✗ Would/Should/Could...

Develop trust,
perceived as less
threatening, allow for
an open response

Allow for incomplete responses,
can be perceived as leading,
may result in incorrect
assumptions/conclusions,
discourage full disclosure

Notes



BREAKOUT ROOM NOTES

Notes



MANAGEABLE RESEARCH

3 Big changes in your customer's industry

- *What are the biggest positive changes in the industry?*
 - *What are the biggest negative changes in the industry?*
 - *What are some of the top news stories for this industry?*
-

3 Big objectives of your customer's company

- *How does the company make money?*
 - *Who are their customers and how do they help them?*
 - *What is their value proposition?*
 - *How do they beat the competition?*
 - *What strategic goals does the senior leadership team have?*
-

3 Actions your customer is/isn't currently taking to address their problems

- *What priorities/problems are your customers focused on?*
- *What action does your customer believe is necessary to solve their problem?*
- *What is your customer doing or planning to do to solve their problem?*

Notes



KEY TAKEAWAYS

Introduction to Challenger

- ✓ In our changing customer world, *Challengers* are more successful.
- ✓ *Challengers* use **Constructive Tension** to take action on their opportunities.
- ✓ *Challengers* deliver Commercial Insight to **Teach** their customers.
- ✓ *Challengers* **Tailor** their sales messages to businesses and individuals.
- ✓ *Challengers* guide their customers through the buying process to **Take Control** of their opportunities.

Constructive Tension

- ✓ Constructive Tension happens when you explore unstated customer beliefs and assumptions.
- ✓ Asking Powerful Questions enables you to build Constructive Tension.
- ✓ Powerful Questions are open-ended, positive, and curious; probe for additional analysis; add information; and/or invite other perspectives.
- ✓ You can prepare for a conversation that builds Constructive Tension by conducting Manageable Research.

Notes



Challenge Yourself

SESSION 2

Engaging Customers Through Commercial Teaching

Part 1



Challenger

BEFORE THE SESSION

Prepare 1-3 Powerful Questions to use with a customer or prospect. *Remember, the goal is to surface what is below the water line.* If you have the opportunity, try these questions with the intended stakeholder and make note of the outcome.

Conduct manageable research for your customer. What would a 3-3-3 look like for them?

- 3 Big changes in your customer's industry
- 3 Big objectives of your customer's company
- 3 Actions your customer is/isn't currently taking to address their problems



COMMERCIAL TEACHING LEADS TO YOUR DIFFERENTIATORS

Traditional Sales Pitch

- Emphasizes the value you can create for customers
- Is 80% *supplier* centric

Commercial Teaching

- Identifies a **pain point** or **strategic objective** and **educates** customers on the **associated costs** for leaving issues unresolved
- Is 80% *customer* centric

Commercial Teaching

Lead to your unique strengths

Opens with concerns for their business

Discusses the true cost of the status quo

Lands on a way forward with your unique solution

CONVERSATION

Beginning

Middle

End

Traditional Sales Pitch

Lead with your unique strengths

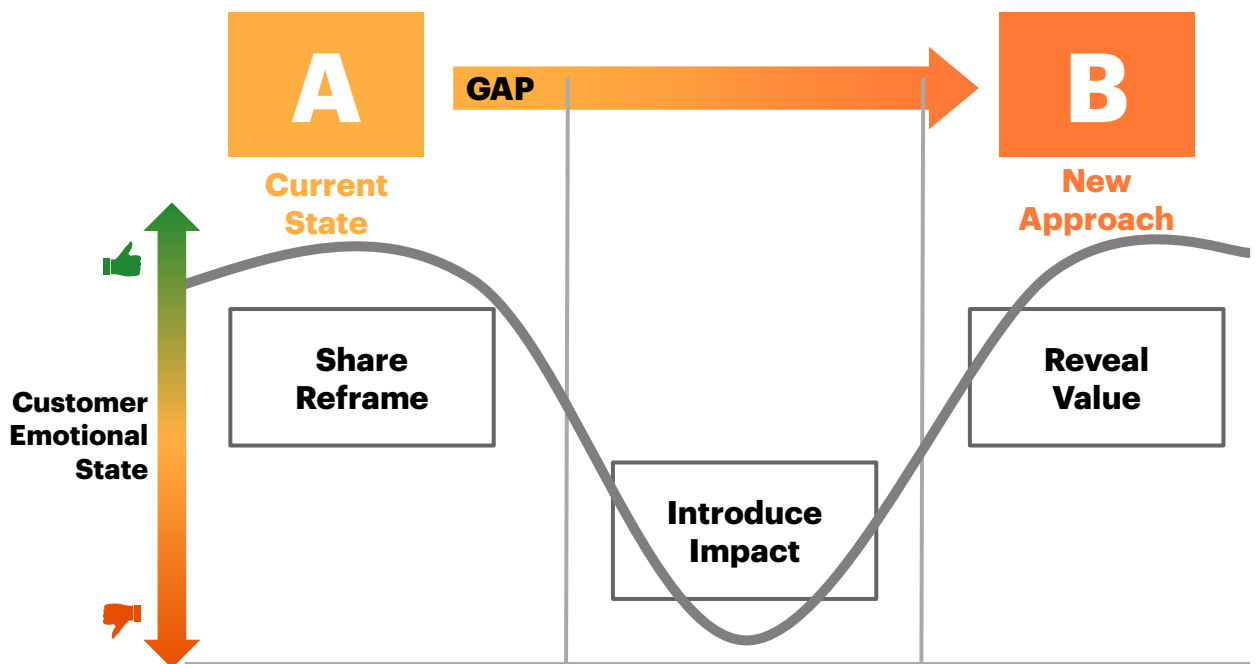
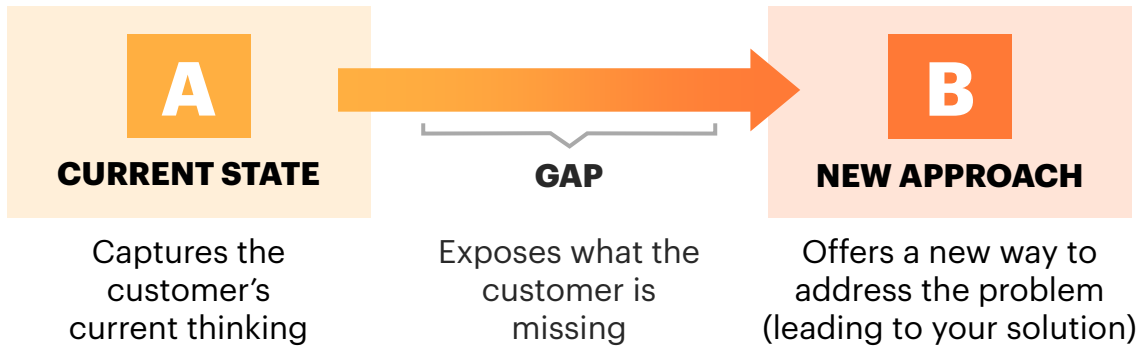
Opens with an overview of your company

Discusses the value you can create

Lands on a request for the customer to buy from you



DISRUPTING THE STATUS QUO



Notes



BREAKOUT ROOM NOTES

Notes



CRITERIA FOR AN EFFECTIVE REFRAME

Reframe:

An Effective Reframe is...



Surprising

Must be
unexpected



Sizable

Must be
worth solving



Solvable

Must eventually
lead back to you

Notes



GATHERING YOUR INPUTS

1. What is your customer under pressure to accomplish?

(3 big objectives from 3-3-3)

2. What is the title of your key contact?

3. How are they trying to accomplish #1 now?

(What are the positive things they are doing now, that they believe are "good enough? "They ARE actually doing something; these are things that DON'T include us.)

4. What makes sense (to them) about doing it this way?

(What logic/reasoning would they agree with? Be empathetic here; we don't want to make them feel that their approach is a "bad" thing at this point.)

5. What's at stake/at risk if they continue to do it this way?

(What don't they see or fully appreciate?)



BUILDING A REFRAME

A

Empathetically
describe
status quo

We understand that you're under more pressure than
ever before to

Most s

go about this by

and

because .

HOWEVER,

GAP

Highlight what
the customer
is missing

what they fail to realize is

.

In Your Words...



REFRAME COMPONENTS

A

Empathetically describe the status quo

- Today, you have...
- Last time we met, you explained...
- Customers like you tell us they spend a lot of time thinking about...
- If you are anything like the other [title]s we regularly work with, you are...
- In speaking with [title], many tell me that...
- If there is one thing we all know, it is...

HOWEVER

Signal a pivot with a strong transition word or phrase

NEVERTHELESS

SURPRISINGLY

BUT IN FACT

GAP

Highlight what the customer is missing

- ...what you are not considering is...
- ...similar companies continue to overlook...
- ...the gap is bigger than you think...
- ...your customers see this differently...
- ...the downstream issues are costly...
- ...this is actually slowing you down...
- ...this only works X% of the time...



BREAKOUT ROOM NOTES

Notes



KEY TAKEAWAYS

Commercial Teaching – Part 1

- ✓ Teaching leads to your differentiators, rather than with your differentiators.
- ✓ A Commercial Teaching Message has a 3-step choreography: Share Reframe, Introduce Impact, Reveal Value.
- ✓ The Reframe must be surprising, sizable, and solvable.
- ✓ A Reframe empathetically describes the status quo, signals a pivot, and then highlights what the customer is missing.

Notes



Challenge Yourself

SESSION 3

Engaging Customers Through Commercial Teaching

Part 2



Challenger



BEFORE THE SESSION: REVISE YOUR REFRAME

A CURRENT STATE:

The customer currently does/thinks...

HOWEVER

→ GAP:

What the customer doesn't recognize is...



BEFORE THE SESSION

For the same opportunity for which you developed a reframe, think about the “costs” that your customer may face if they don’t change. Think of examples of things that could very well go wrong.

Jot down costs, opportunity costs, risks, and other quantifiable evidence.



CREATING IMPACT

Your insight should disrupt how the customer currently thinks about their business. Identify the business metrics related to your customer’s status quo.

RATIONAL:

Business Metrics			
	Decreasing Revenue	• Top-Line Sales • Market Share • Price Reduction	• Customer Retention • Share of Wallet • Cycle-Time
	Increasing Risk	• Likelihood of Litigation • Impact of Economic Fluctuation	• Effect of Government Regulations • Likelihood of Information Security Breaches
	Increasing Expenses	• Labor Costs • Margin/Profitability • Cost of Goods Sold	• Efficiency/Productivity • Premiums/Fees • Inventory Costs

Notes



INTENSIFY THE CONSEQUENCES BY SHOWING THE COST OF STAYING THE SAME

It sounds like...

- The costs here are substantial...
- Moreover, the downside costs of X are...
- Our data shows...
- Let's break this down further...
- Let's take a look at how this impacts X...
- The worst part is that...
- From our research, we estimate...
- Our analysis shows...
- Based on our calculations...
- I've done some rough calculations...
- Let's use an example...
- Let's see how this affects your business...

Notes



BREAKOUT ROOM NOTES

Notes



FEELING THE PAIN

Describing the pain using storytelling techniques engages the customer emotionally.

Emotional



Tell a Story

Use your experience/
company case studies



Personalize

Put a human face
to the problem

Storytelling

Imagery

Incorporate details
that invoke the five
senses

Example: That's how your sellers feel – sitting in the dark hallway waiting to make a pitch, intently listening to muffled laughter in the conference room and watching your competition walk out smiling...

Analogies

Create a comparison
to make your point
more memorable

Example: It's like shoveling snow with a rake.

Vivid Equivalents

Connect obscure
information to a more
concrete and relatable
equal

Example: 29,640 trees = a forest area equivalent to 95 football stadiums.

Notes



HUMANIZE THE PROBLEM WITH STORYTELLING

It sounds like...

- This happens all the time. Picture this... (predict what could happen)
- I was talking to [name] and learned...
- Another company similar to you...
- I was recently speaking with a customer who...
- This kind of thing happens more than you think. For example...
- You know the story, an employee...
- Think about the last time you...
- Just last month I was at [company type] and found...
- We saw this exact situation play out at...
- Let me paint you a picture...

Notes



BREAKOUT ROOM NOTES

Notes



WHAT VALUE DO WE PROVIDE OUR CUSTOMERS?



What should your customer do differently/how should they change their behavior?

How would your customer describe the new approach in their language?

It sounds like...

- ▶ The good news, this is an easy fix...
- ▶ What if you could realize the benefit of...
- ▶ To address this problem you can...
- ▶ Imagine if there was a way to...
- ▶ Rather than reactively managing, you could...
- ▶ Wouldn't it be great if you could...
- ▶ Maybe you decide to buck the trend and...
- ▶ The most cost effective, best aligned approach is...
- ▶ Now imagine a scenario where instead of X you...
- ▶ In order to accomplish X you must...

B NEW WAY:

The action the customer should take is...

What is my solution and how does it deliver that in a differentiated way?



BREAKOUT ROOM NOTES

Notes



ADD OPEN-ENDED POWERFUL QUESTIONS TO YOUR COMMERCIAL INSIGHT

For example: **Share Reframe**

How has your team reacted to this environment?
How do you get customer feedback on this situation?
What analysis have you done on this?

Introduce Impact

What concerns you about these percentages?
This is a scary situation; what steps you have taken to ensure this does not happen to you?

Reveal Value

What needs to be added to/removed from this plan to make it successful?
How would you ideally accomplish this with limited resources?
What would you address first about this issue?



KEY TAKEAWAYS

Commercial Teaching – Part 2

- ✓ You need to Introduce Impact by presenting both rational and emotional evidence.
- ✓ Rational evidence includes business metrics that reveal rising costs, decreasing revenue, or increased risk.
- ✓ Emotional evidence includes stories, analogies, or imagery that humanize the problem.
- ✓ Reveal Value by illustrating a new way forward, only at the end revealing your solution.
- ✓ Adding open-ended Powerful Questions to a Commercial Teaching Message prepares you for a two-way conversation.

Notes



Challenge Yourself

SESSION 4

**Tailoring and
Taking Control
to Drive Action
Becoming a
*Challenger***



Challenger

BRINGING IT ALL TOGETHER

Work on your draft Commercial Teaching Message here.

SHARE REFRAME

Build credibility by reframing the customer's perception of a relevant business issue

A CURRENT STATE

→ GAP

Add Powerful Questions

INTRODUCE IMPACT

Intensify the business consequences and humanize the problem

Add Powerful Questions

REVEAL VALUE

Demonstrate the value of taking action (and how you are uniquely positioned to support)

B NEW WAY:

Add Powerful Questions

Add A Powerful Request



BEFORE THE SESSION

Identify the 4+ stakeholders in your customer's buying group. What are their unique goals and priorities?



TAILORING TO YOUR CUSTOMER

Tailoring: Customizing your message to create resonance based on a customer’s individual priorities and **group common goals**.



Tailor for each stakeholder	...So That You Can
Role and Seniority	Connect to their business priorities (e.g., annual turnover, number of reported incidents)
Tactical vs. strategic viewpoint	Communicate with language that will resonate with them
Personal ambitions and values	Demonstrate that you can provide them with real value

Tailor for each stakeholder	...So That You Can
Overarching organizational priorities	Communicate with language that will resonate with everyone
Cross-company cultural values	Use generally accepted truths to win over the buying group

Notes



NOTES



NOT ALL CUSTOMERS ARE CREATED EQUAL

Mobilizers

They are **the most effective in driving consensus** and driving forward action.

- ❑ Are skeptical and ask thought-provoking questions
- ❑ Prioritize the organization (“we”) vs. themselves (“me”)

Talkers

They **do not have the internal influence** to drive decisions.

- ❑ Are accessible and freely share information
- ❑ Prioritize themselves (“me”) vs. the organization (“we”)

Blockers

They **want to prevent change**—they simply prefer the status quo.

- ❑ Rarely, if ever, share useful information
- ❑ Resist change and advocate for the status quo

Notes



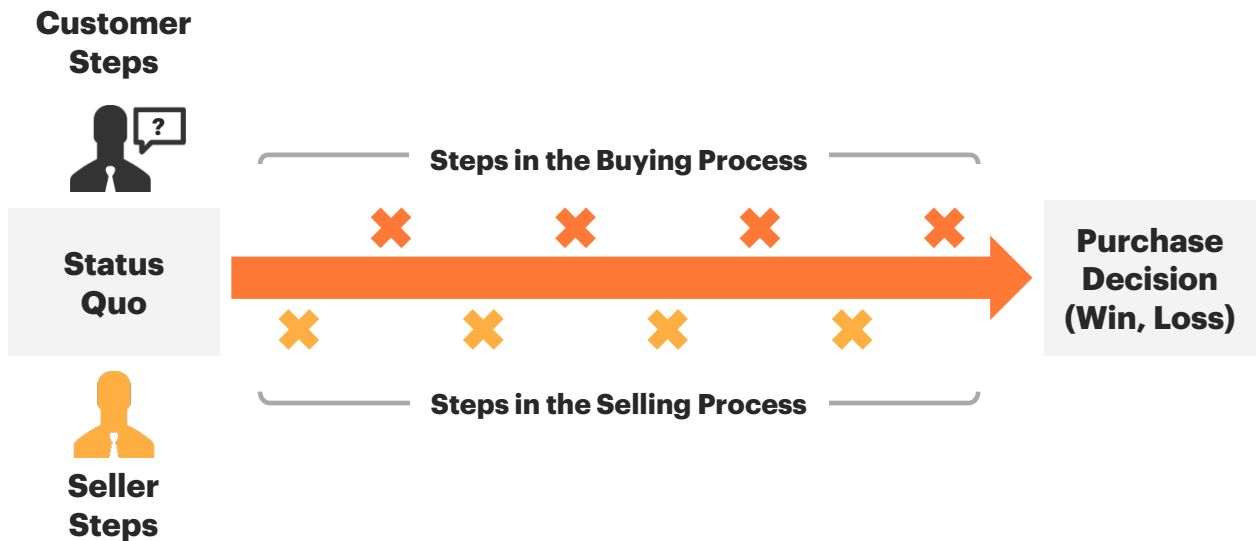
BREAKOUT ROOM NOTES

Notes



HOW CHALLENGERS RESPOND

Taking Control: Taking Control is prescriptively **guiding** the customer through the buying process to a recommended action.



Verifying Customer Actions

Using their customer's buying process as a map, *Challengers* track their customer's reactions to each sales interaction as an indicator of whether or not the customer is ready and willing to move forward.

Guiding with Powerful Requests

Challengers provide a credible and influential set of "do this" / "don't do that" recommendations and ask customers to take concrete actions that demonstrate commitment to moving the opportunity forward.

Notes



POWERFUL REQUESTS

Include... **What** you want
 Why it matters

Whom you want it from
When it needs to happen

Instead of this...

"When can we discuss this again?"

"Who should be involved in the decision?"

"What are next steps?"

Try this...

"By next Tuesday, can you get your assistant to provide me the data we discussed so my team can prepare a cost analysis?"

Notes



BREAKOUT ROOM NOTES

Notes



EXTRA NOTES

Notes



KEY TAKEAWAYS

Tailoring

- ✓ Larger buying groups are less likely make a purchase.
- ✓ Messages need to be Tailored to resonate with individual priorities and group common goals.
- ✓ Not all customers are created equal; Mobilizers are the customers you need to find to advance a deal.

Taking Control

- ✓ Taking Control means prescriptively guiding the customer through the buying journey.
- ✓ *Challengers* verify customer actions, not seller actions to know where they are in the buying journey.
- ✓ *Challengers* prescribe the path forward by making Powerful Requests.
- ✓ Powerful Requests include Why, What, Whom, and When.

Notes



BONUS PAGE: BRINGING IT ALL TOGETHER

Here's a fresh copy to work on your draft Commercial Teaching Message.

SHARE REFRAME

Build credibility by reframing the customer's perception of a relevant business issue

A CURRENT STATE

→ GAP

Add Powerful Questions

INTRODUCE IMPACT

Intensify the business consequences and humanize the problem

Add Powerful Questions

REVEAL VALUE

Demonstrate the value of taking action (and how you are uniquely positioned to support)

B NEW WAY:

Add Powerful Questions

Add A Powerful Request



APPLY CHALLENGER™ SKILLS TO YOUR DEALS

Fill out the **Deal Action Plan** as much as you can for an active opportunity.

Deal Context

Can be carried over from previous versions and updated as needed.

1. My customer's **Status Quo** is:

2. My **Reframe** is:

3. My **Unique Differentiators** are:

4. I can **Raise the Tension** with Powerful Questions like:

5. I can **Deepen the Pain** with data and stories, including:

6. I can **Take Control** by tracking these verifiers and making powerful requests:

7. My **customer stakeholder(s)** are Mobilizer/Talker/Blocker and my plan for working with them is:



APPLY CHALLENGER™ SKILLS TO YOUR DEALS

Fill out the **Deal Action Plan** as much as you can for an active opportunity.

Deal Drill Notes

Pre Call Preparation

What aspects of my deal do I need help with?

What do I need to prepare? Draft it here.
E.g. powerful questions, a reframe, cost calculations, stories

Based on what I learned, what do I want to happen in my upcoming interaction?

What do I need to practice? Find a friend.
E.g. raising the tension

Post Call Analysis

What did I learn about my customer and my deal?

What do I want to happen now?

What am I still unsure about in relation to my deal?

Find a Deal Drill that may be helpful.



BONUS: PEER CONSULTING DRILL

Directions:

In groups of two, each person will take turns being a “Presenter” while his/her peers will be playing the role of “Consultant”.

- Your goal as a “Presenter” is to present the challenges you are facing in your opportunity and provide sufficient context for your peer to give feedback.
- Your goal as a “Consultant” is to ask thought-provoking questions that will help pressure-test and further the Presenter’s thinking in their deal.

**Prepare
5 min**

Prepare: 5 minutes

- Identify challenges or weak spots where you would like peer feedback
- Prepare to present

**Present
5 min**

Present: 5 minutes

- Present your customer’s current state and your plan to guide them to the next step in the buying process

**Examine
5 min**

Examine: 5 minutes

- Consultant asks questions for clarification and provoke new ideas
- Presenter can answer questions but can't defend their position

**Advise
5 min**

Advise: 5 minutes

- Consultant provides recommendations
- Presenter takes notes

**Decide
5 min**

Decide: 5 minutes

- The Presenter may ask questions to modify their strategy moving forward



NOTES



WISDOM TO WIN



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